



Managing state finance

In spending money to provide the services that people expect, governments must aim for maximum cost efficiency. They therefore plan to finance the budget from a combination of taxation, borrowing, and (very occasionally) printing new money. Taxation in all its forms is the primary source of funding, with borrowing used as a means to make up the shortfall. Printing money is rare as it risks undermining confidence in the value of the currency itself.

Balancing the books

Government spending today is largely to meet demand, and typically accounts for around one-third of a country's economy. In some countries (such as those in Scandinavia), government spending accounts for a much greater proportion than this. Financing this degree of spending can be a difficult task. While governments aspire to balance their budgets, most borrow a proportion. What matters is that the level of borrowing is controlled so that people have confidence that government debts will always be repaid.

CENTRAL BANK

In the US, the central bank is the Federal Reserve, known as the Fed. A country's central bank manages the currency and money supply, holds central bank reserves, and implements economic targets set by the government.

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